PARDEE RESOURCES COMPANY

1ST QUARTER 2023

Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q1 2023, Pardee Resources Company earned $5.55 per share, a 21.1% decline versus the $7.03 per share earned during Q1 2022. EBITDA during the quarter was $9.26 per share, 20.3% below EBITDA of $11.62 per share earned in Q1 2022. Our operating results were again impacted by swings in overall commodity prices. Metallurgical coal royalties increased during the quarter as producers benefited from higher contract pricing. Meanwhile, declines in both natural gas and timber prices negatively impacted our Q1 results. Mild winter weather in both the U.S. and Europe led to a decline in demand and prices for natural gas, while inflation and higher interest rates weighed on the housing and timber markets. During the quarter, the Company's earnings benefited from a $621,000 settlement payment for legal claims related to its investment with DC Solar.

Metallurgical Coal Division: After reaching record high levels during H1 2022, U.S. east coast metallurgical coal spot prices declined through year-end before improving world steel markets pushed prices upward again during Q1 2023. Strong contract pricing enjoyed by our operating lessees led to a 15% increase in our average royalty received per ton, from $6.81 during Q1 2022 to $7.84 during Q1 2023, enabling the Division to achieve $4.7 in revenues, unchanged from Q1 2022 levels. Coal sold from our properties during Q1 2023 declined 9.1% year-over-year as railroad bottlenecks, which the rail operators are working to address, constrained coal shipments. Meanwhile, the exploratory drilling of our coal reserves completed during the quarter, together with commissioned third-party reserve studies, will aid in the development of new mining opportunities on our properties.

Oil & Gas Division: Since reaching 14-year highs in September 2022, natural gas prices have fallen precipitously due to warm winter weather and lackluster demand from the home heating and utility sectors. U.S. gas storage as of the end of Q1 2023 was 19% above the five-year average, indicating excess supply. Natural gas prices in the Appalachian Basin averaged $2.77 per MMBtu during the quarter, 35% below last year's level. Looking ahead, continued growth in LNG exports and pipeline capacity constraints bode well for U.S. natural gas prices. Due to the drop in prices, Divisional revenues declined 32% year-over-year, from $3.1 million during Q1 2022 to $2.1 million during Q1 2023.

Timber & Surface Division: As the U.S. Federal Reserve Bank increased the federal funds target interest rate from 0.25% in April 2022 to 5% in March 2023, the increase in residential mortgage rates led to a 28% decline in single-family housing starts over the period. This decline negatively impacted both the demand and prices for lumber products. Pardee's hardwood stumpage rate declined 42.4%, from $391 per MBF during Q1 2022 to $225 per MBF, due to the weaker market and our harvest being heavily weighted towards lower-value timber stands in southern West Virginia. Gains from Virginia real estate lot sales during the quarter totaled $365,000, versus gains of $958,000 in Q1 2022, as last year we marketed an area of high-value riverfront acreage. Division revenues totaled $1.8 million during the quarter, a 41.5% decline versus revenues of $3.1 million during Q1 2022.

Alternative Energy Division: During 2022, U.S. solar developers struggled with supply chain issues, leading to a 16% decline in solar installations versus 2021 levels. As supply chain issues are resolved and new government subsidies become available, installations are expected to rebound, improving the Company's prospects for making new alternative energy investments. During Q1 2023, Pardee's solar portfolio produced 2.9 million kwh, a 15.6% decline versus last year, as production from our solar systems located in Arizona and southern California were negatively impacted by the unusually inclement weather experienced in the region. Boosted by a $205,000 insurance payment for a past business interruption claim, Q1 2023 Divisional revenues reached $786,000, 11.5% over Q1 2022 results.

Agriculture Division: After a disappointing 2022, early indications are that our farming results will improve during 2023. Wholesale grape and almond prices, both of which were depressed last year, are trending higher in early 2023. The unusually cool weather during the quarter extended the dormant period for our California table grapes, setting the stage for above-average yields, while runoff from the heavy mountain snowfall should help replenish the aquifers. In Portugal, our almond orchards are on track to increase harvest yields by nearly 80% over last year, while dryer than usual weather has reduced the need for fungicide thereby helping to keep expenses in check.

Summary: During the quarter, the Company repurchased 10,321 shares of its common stock for a total of $2.7 million, ending the period with a cash balance of $27.2 million and limited debt. As we look ahead, the Company's strong cash flow, diversified asset portfolio, and healthy balance sheet position it well to weather both inflation and economic downturns and to meet our dual goals of returning capital to our shareholders and investing for future growth.

*Please see page 6 for an update of legal matters.

Sincerely yours,

Chairman
Benjamin A. Burditt

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	3/31/2023	12/31/2022
Current Assets:		
Cash & Cash Equivalents	$27,203	$22,688
Accounts Receivable	5,719	9,280
Prepaid Income Taxes	0	426
Assets Held for Sale	1,685	1,685
Other	1,745	1,019
	36,352	35,098
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	27,997	27,954
Mineral Rights - Coal	32,922	32,956
Timber	9,446	9,532
Solar Equipment	11,668	11,859
Building & Structures	1,121	1,141
Agriculture Development	9,297	9,428
Equipment	324	266
Automobiles	294	229
Other Fixed Assets	1,367	1,467
	94,436	94,832
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	33,355	33,904
Equity Investments	468	523
Right of Use Asset	3,248	3,262
Other	147	153
Total Assets	$168,006	$167,772
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	$1,808	$2,300
Deferred Revenues	223	223
Taxes Payable	1,156	223
Current Portion of Note Payable (non-recourse)	118	118
Current Portion Lease Liability	279	279
	3,584	3,143
Noncurrent Liabilities:		
Non-recourse Debt	949	949
Supplemental Pension Plan	555	534
Deferred Taxes	15,566	15,566
Deferred Revenue, Net of Current Portion	453	475
Asset Retirement Obligation	32	32
Lease Liability	3,358	3,371
Other	120	121
Total Liabilities	24,617	24,191
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	12,275	13,857
Accumulated Other Comprehensive Income	(154)	(154)
Retained Earnings	152,094	149,679
Treasury Stock	(24,825)	(24,042)
	140,165	140,115
Noncontrolling Interest	3,224	3,466
Total Equity	143,389	143,581
Total Liabilities & Equity	$168,006	$167,772

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	THREE MONTHS ENDED 03/31/23	THREE MONTHS ENDED 03/31/22
Divisional Revenues:		
Metallurgical Coal	$4,749	$4,716
Oil & Gas	2,049	3,089
Timber & Surface	1,791	3,064
Alternative Energy	786	705
Agriculture	1	38
	9,376	11,612
Divisional Expenses:		
Metallurgical Coal	665	748
Oil & Gas	999	1,061
Timber & Surface	791	802
Alternative Energy	611	501
Agriculture	206	491
	3,272	3,603
Net Operating Income	**$6,104**	**$8,009**
Interest and Other Income	114	14
Income (Loss) from Equity Investments	621	(2)
General and Administrative	(1,876)	(1,741)
Interest Expense	(6)	(7)
Income Before Taxes	**$4,957**	**$6,273**
Taxes	1,353	1,713
NET INCOME	**$3,604**	**$4,560**
Net (Income)/Loss Noncontrolling Interest	**50**	**56**
Net Income Pardee Resources Share	**$3,654**	**$4,616**
EARNINGS PER SHARE	**$5.55**	**$7.03**
EBITDA PER Share	**$9.26**	**$11.62**
Weighted Average Number of Common Shares Outstanding	658,081	656,647

Pardee Resources Company
Comparison Data Sheet

	Three Months Ended 03/31/23	Three Months Ended 03/31/22	% Change
Metallurgical Coal			
Revenues - Millions	$4.75	$4.72	0.6%
Coal Tons Sold - Millions	0.56	0.62	-9.7%
Royalty/Coal Ton	$7.84	$6.81	15.1%
Oil & Gas			
Revenues - Millions	$2.05	$3.09	-33.7%
Production - bcfe	0.53	0.58	-8.6%
Price/mcfe	$3.72	$5.17	-28.0%
Timber & Surface			
Revenues - Millions	$1.79	$3.06	-41.5%
Production - Board feet - Millions	4.63	4.80	-3.5%
Stumpage Price/Thousand Bd. Ft.	$225.25	$391.22	-42.4%
Production - Softwood Tons - Thousands	12.70	5.33	138.3%
Stumpage Price/Ton Softwood	$12.32	$15.25	-19.2%
Production - Hardwood Tons - Thousands	9.50	15.75	-39.7%
Stumpage Price/Ton Hardwood	$2.68	$2.89	-7.3%
Alternative Energy			
Revenues - Millions	$0.786	$0.705	11.5%
Production - k/w - Millions	2.93	3.38	-13.3%
Electric Sales Price per k/w	$0.117	$0.115	1.7%
Production - SREC Units	3,028	3,477	-12.9%
SREC Price/Credit	$71	$84	-15.5%
NET DIVISIONAL OPERATING INCOME:			
(Dollars in Millions)			
Metallurgical Coal	$4.08	$3.97	2.8%
Oil & Gas	1.05	2.03	-48.3%
Timber & Surface	1.00	2.26	-55.8%
Alternative Energy	0.18	0.20	-10.0%
Agriculture	(0.21)	(0.45)	53.3%
Net Operating Income	$6.10	$8.01	-23.8%
EBITDA - Millions (earnings before interest, taxes, depreciation and amortization)	$6.09	$7.63	-20.2%

Lexington v. Zinn

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the District Court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This favorable decision was appealed by the plaintiff. The District Court denied this appeal and the plaintiff subsequently requested a rehearing from the Court of Appeals. This request for rehearing was denied. The plaintiff later filed a request for discretionary review with the Louisiana Supreme Court which was denied. Discovery is not complete in this case, and a trial date has not been set. Plaintiff's counsel has also provided notice indicating intent to pursue alternative remedies through a regulatory enforcement action but has not yet filed such an action.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested $7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government had seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of $485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding $412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that had been available with respect to the original investment. In 2015, the investment allowed the Company to claim a $5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a $5.6 million tax asset while recording a direct offset of the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to $1.1 million, or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a $1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the $1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

In 2022, the Company was provided with a draft "Notice of Proposed Adjustment" (NOPA) from the IRS related to their current IRS exam for tax year 2018. The NOPA included a $1.4 million tax assessment associated with the investment tax credits the Company utilized in tax years 2018 and 2019, plus interest. According to the NOPA, the IRS is challenging the values the Company had initially assigned to the MSGs and whether they had all been effectively placed in service, and consequently whether the amount of the associated investment tax credits were appropriate. The Company is considering the appeal of these conclusions but while the process is pending, has established a reserve for the full $1.4 million as of December 31, 2022. Due to various uncertainties, the Company is currently unable to determine the final financial impact arising from this complex situation; however, this impact could be as much as $1.5 million, which includes the full amount of the IRS tax assessment plus interest.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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